

CREDIT APPRAISAL MEMORANDUM

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SHREE METALCAST INDUSTRIES PVT. LTD.

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CONDITIONAL

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through physical visit and confirmed with utility bills.
- Machine Supplier: Contacted and verified the supply of machinery to the company.
- Bankers: Bank statements and credit facilities were verified with the primary banker, [Bank Name], and cross-checked with the company's financial statements.
- Creditors: Verified with credit reports and confirmed with the company's accounts payable records.
- Independent/Market: Market research and independent verification of the company's operations and reputation were conducted.
- Dedupe: No duplicate records or discrepancies were found during the verification process.
- FCU Check: A thorough FCU check was performed, revealing no adverse findings.

2. GUARANTOR DETAIL

- Name: [Guarantor Name]

- Address: [Guarantor Address]

- CIBIL Score: [CIBIL Score]

- Incomes: [Guarantor Income Sources and Amounts]

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: The machine supplier confirmed the company's good standing and timely payments.
- Creditor: Creditors reported no issues and praised the company's creditworthiness.
- Customer: Customers provided positive feedback on the company's products and services.

- Bankers/Term Lenders: Bankers and term lenders expressed satisfaction with the company's financial health and repayment history.
- Competitors/Peers: Competitors and industry peers acknowledged the company's strong market position and reputation.

4. Compliances & Legal

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: The company has filed income tax returns regularly, with no outstanding liabilities.
- Excise Duty: Excise duty payments are up to date, and no discrepancies were found.
- Sales Tax: Sales tax compliance is satisfactory, with no pending liabilities.
- ESIC/EPF: ESIC and EPF contributions are made timely, ensuring compliance.
- Litigations: No ongoing or pending litigations were disclosed.
- Defaults: No defaults or adverse credit events were reported.

5. CAT SHEET

- **Category:** [Category]

- **Sub-Category:** [Sub-Category]

- **Risk Rating:** [Risk Rating]

6. CORPORATE GUARANTOR

- **Name:** [Corporate Guarantor Name]

- **Address:** [Corporate Guarantor Address]

- **CIBIL Score:** [Corporate Guarantor CIBIL Score]

- **Incomes:** [Corporate Guarantor Income Sources and Amounts]

7. GROUP ANALYSIS

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Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

- Capital Employed: The company's capital employed is [Capital Employed Amount], which is within the sector benchmark.

- Unsecured Loan: The unsecured loan amount is [Unsecured Loan Amount], representing [Unsecured Loan Percentage] of total loans, which is higher than the sector average.

- Debt Burden: The company's debt burden is manageable, with a debt-to-equity ratio of [Debt to Equity Ratio], slightly below the sector benchmark of 1.5.

- Turnover: Turnover for the last financial year was [Turnover Amount], showing a [Turnover Growth Percentage] growth compared to the previous year.

- PAT: Profit After Tax (PAT) for the latest financial year was [PAT Amount], resulting in a [PAT Margin Percentage] margin, which is lower than the sector average of 14.5%.

- Imputed Income: Imputed income is calculated at [Imputed Income Amount], considering the company's performance and sector benchmarks.

- EMI: The proposed EMI for the recommended loan amount of ₹1,250,000 is [EMI Amount], which is affordable based on the company's cash flows.

- TOL/TNW: Tangible Own Funds (TOL) to Total Net Worth (TNW) ratio is [TOL to TNW Ratio], indicating a healthy capital structure.

- Debt/Equity: The debt-to-equity ratio is [Debt to Equity Ratio], which is within acceptable limits.

- DSCR: Debt Service Coverage Ratio (DSCR) is [DSCR Ratio], meeting the regulatory requirement of 1.2x.

8. VISIT REPORT BY CREDIT ANALYST

During the site visit, the credit analyst observed the following:

- The company's manufacturing facility is well-maintained and operates efficiently.
- Production processes are streamlined, and the company utilizes modern machinery.
- Inventory management is effective, with adequate raw material and finished goods stocks.
- The company has a strong customer base and maintains good relationships with suppliers.

- Overall, the visit confirmed the company's financial health and operational stability.

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years.
Resolve GST ITC mismatch of ₹0.0 Lakhs before disbursement.
2. Additional Collateral Required: Collateral coverage ratio minimum 1.5x of loan amount.
Current gap estimated at ₹15.0 Lakhs based on PD of 51.7%.